

Debate on UNSC Veto Power



For Prelims: United Nations General Assembly (UNGA) , United Nations Security Council (UNSC) , Veto power , Ezulwini Consensus , African Union

For Mains: UNSC reform and the changing global order, Veto power and democratic deficit in the UN system, India's demand for permanent membership of the UNSC

Source:TH

Why in News?

At the **81 st Session of the United Nations General Assembly (UNGA)** in September 2026, member states convened to debate structural reforms regulating the **United Nations Security Council (UNSC) veto power** , particularly during severe humanitarian crises.

- Concurrently, **Russia reaffirmed its support for India's permanent membership of the UNSC** during the UNGA session. India reiterated its commitment to the **"Pact for the Future"** , adopted at the **2024 UN Summit** , and called for **urgent, time-bound UNSC reforms** to reflect contemporary geopolitical realities.

Summary

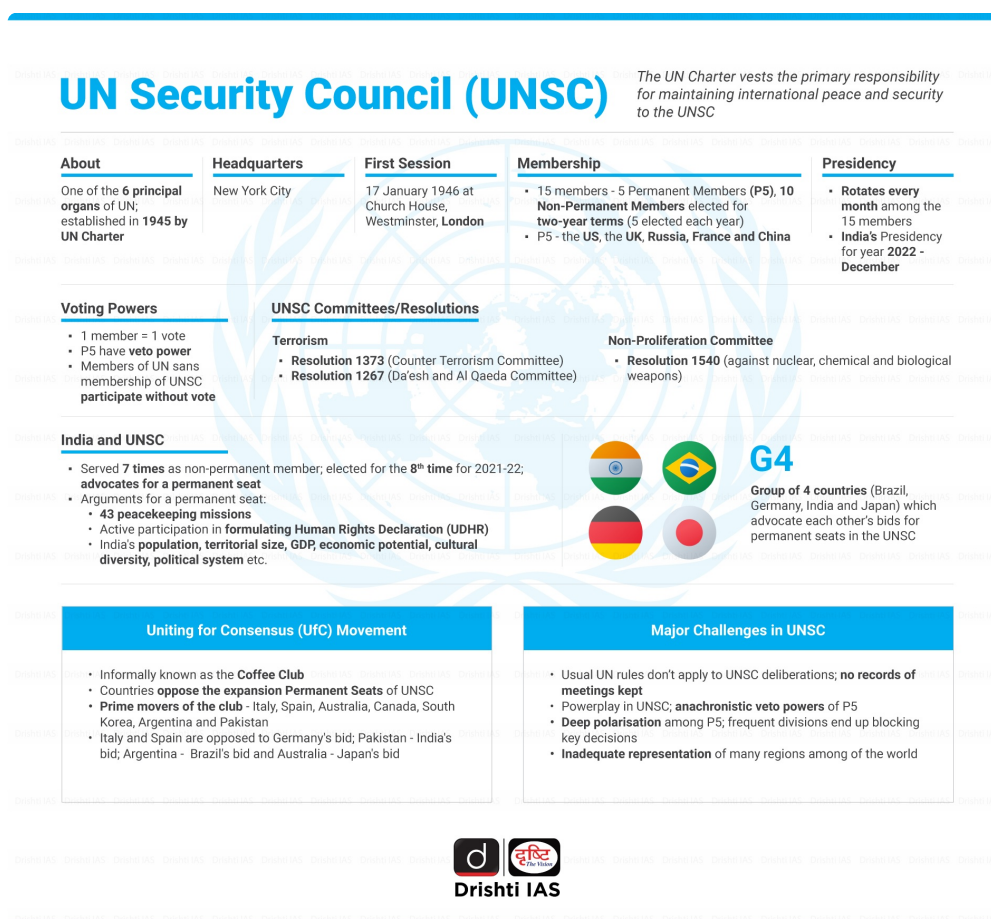
- UNSC veto reform seeks to balance effectiveness, representation and accountability, with initiatives such as the French-Mexican Initiative, Liechtenstein Initiative and ACT Code of Conduct aiming to regulate or scrutinise veto use.
- India advocates comprehensive UNSC reform, opposing a two-tier permanent membership, supporting veto parity if the veto continues, and working through the G4, L.69 Group and Ezulwini Consensus for greater Global South and African representation.

What is the Veto Power of the UNSC?

- **Origin of the Veto:** While the word "veto" is not explicitly mentioned in the **UN Charter** , the concept

was established through Article 27(3).

- This article dictates that **decisions on non-procedural matters require an affirmative vote of nine members, including the concurring votes of all permanent members.**
- **The Permanent Five (P5):** The UNSC, the UN's premier decision-making body, comprises 15 members: **5 permanent (China, France, Russia, the UK, and the US)** and **10 non-permanent members** elected by the UNGA for two-year terms.
- **Mechanism of Action:** A negative vote (a veto) cast by any of the P5 members prevents the adoption of a substantive draft resolution, regardless of the level of international support the resolution has garnered.
- However, **an abstention or absence by a P5 member does not count as a veto.**



What are the Arguments For and Against Abolishing the Veto?

Arguments For Abolishing the Veto

- **Undemocratic Nature:** The absolute negative vote of five states legally enshrines an oligopoly, fundamentally violating the **UN Charter's own foundational principle of the "sovereign equality of all its Members"**. It replaces democratic multilateralism with a legally codified hierarchy.
- **Institutional Paralysis:** The veto frequently causes gridlock during major geopolitical crises. For example, between 2011 and 2023, Russia (often joined by China) vetoed over **15 draft resolutions related to the Syrian Civil War**, blocking humanitarian aid and chemical weapons investigations.
 - Furthermore, the mere *threat* of a veto (the "pocket veto") often prevents draft resolutions from **even being formally tabled, preemptively paralyzing the Council.**
- **Protection Against Accountability:** The veto is often criticized for shielding the **P5 or their**

strategic allies from accountability for violations of international law, including the **UN's**

Responsibility to Protect (R2P) doctrine.

- For instance, the US has frequently used its veto to block resolutions critical of Israel regarding the situation in **Gaza**, while **Russia has used the veto to block resolutions** condemning its actions in Ukraine (such as the vetoes in 2014, 2022, and 2024).
- From **1945-2025, the UNSC veto was used 320 times** on 264 draft resolutions/amendments, led by the **Soviet Union/Russia (155)** and the **US (94)** .
- **Anachronistic Architecture:** The P5 configuration reflects the world in 1945. Maintaining the permanent veto excludes entire continents like Africa (a point frequently raised via the **Ezulwini Consensus**) and Latin America, as well as modern economic powers like the **G4 (India, Brazil, Germany, Japan)** , undermining the UNSC's contemporary legitimacy.
 - France argues that veto power should carry a special responsibility to enable UNSC action during mass atrocities, rather than function as an unrestricted privilege.

Arguments Against Abolishing the Veto

- **Preventing the "League of Nations Trap":** The UN's predecessor, the **League of Nations**, operated on a principle of universal unanimity and collapsed because major powers simply withdrew when the organization made decisions contrary to their vital interests.
 - The veto was designed as a **"safety valve."** Proponents argue that without it, major powers might abandon the **UN framework entirely** , risking the collapse of the institution and a return to unmediated great-power conflict.
- **The Structural Paradox (Article 108):** Complete abolition is practically impossible under the current UN Charter. **Article 108 dictates that any amendment to the Charter requires ratification by two-thirds of the General Assembly, including all five permanent members** .
 - Therefore, the P5 holds a structural, legal veto over the abolition of their own veto power.
- **The Risk of Multiplier Paralysis:** Factions opposing the expansion of permanent membership (such as the **Uniting for Consensus group, or the "Coffee Club"**) argue that extending the veto to new permanent members would mathematically multiply the number of actors capable of **blocking Council action, exponentially increasing the likelihood of institutional gridlock.**

Initiatives for Veto Reform

- **The French-Mexican Initiative (2015):** Launched by France and Mexico in 2015, is a political declaration calling on the permanent members of the UNSC to voluntarily refrain from using their veto power in situations involving mass atrocities like genocide, crimes against humanity, and large-scale war crimes.
 - The French-Mexican Initiative currently has the backing of 128 member states, including two P5 members (France and the UK).
- **The Liechtenstein Initiative (UNGA Resolution 76/262, 2022):** Also known as the **Veto Initiative**, it requires the **UN General Assembly to convene a formal meeting within 10 working days whenever a veto is cast in the UNSC**, enhancing transparency and political accountability.
 - This ensures **a veto does not terminate the conversation**; the vetoing permanent member must publicly explain and defend its action, introducing a degree of political accountability.
- **The ACT Code of Conduct:** Formulated by the Accountability, Coherence, and Transparency (ACT) group, this initiative urges all UNSC members (both permanent and non-permanent) to pledge **not to vote against credible draft resolutions aimed at preventing or halting mass atrocity crimes**.

What is India's Position on UNSC Veto Reform?

- **India's Core Position on UNSC Veto Reform:** During the **Inter-Governmental Negotiations (IGN)** on UNSC reform, **India opposes a two-tier system that creates permanent members without veto powers**, arguing for parity among permanent members. India maintains that as long as the veto exists, **it should be extended to new permanent members**.
 - It also highlights that **even non-permanent members can exercise an informal "effective veto"** by blocking press statements and sanctions committee decisions, underscoring the need for comprehensive UNSC reform.
- **The G4 Compromise:** India, along with the **G4 nations**, has proposed a **15-year moratorium on the exercise of the veto** by new permanent members.
 - Under this model, new members would have the **same responsibilities and obligations** as existing permanent members but would voluntarily refrain from using the veto for 15 years.
 - After this period, the **UN General Assembly would review the arrangement**. The proposal reflects India's **diplomatic flexibility** to overcome the long-standing deadlock over UNSC reform.
- **Championing the Global South and African Representation:** India positions itself as a **voice of the Global South** and seeks broad developing-country support for **UNSC reform**.
 - **Ezulwini Consensus:** India supports the **African Union's demand for permanent African representation with veto rights**, as long as the veto continues to exist.
 - **L.69 Group:** India works with the **L.69 Group of developing countries** to build support for comprehensive UNSC reform.
 - India has coordinated with the **G4 and L.69** to strengthen developing-country consensus on UNSC reform.
- **Reformed Multilateralism:** India links UNSC reform with a broader goal of making global institutions

more representative, inclusive and reflective of contemporary geopolitical realities .

- India is also seeking a **non-permanent UNSC seat for 2028-29** , using its participation to strengthen its case for eventual permanent membership.

What Measures can be Taken to Reform the Veto System?

- **Advancing Normative Self-Restraint:** Diplomatic pressure should be sustained to solidify the **French-Mexican initiative** into a globally recognized norm, increasing the reputational cost of using the veto during verified humanitarian disasters.
- **Strengthening Post-Veto Instruments:** General Assembly debates triggered under the Liechtenstein Initiative should be linked to actionable **multilateral follow-ups, such as independent commissions of inquiry or humanitarian aid corridors** authorized under the "**Uniting for Peace**" resolution.
- **Compromise Models for Expansion:** The UN must move beyond open-ended debates toward **Intergovernmental Negotiations (IGN) based on a single text. Compromise models** such as inducting G4 nations with permanent membership while placing a long-term moratorium on veto privileges can balance the need for representation with Council operability.
- **Objective Atrocity Triggers:** Empowering independent statutory bodies, such as the **International Court of Justice (ICJ)** or the UN High Commissioner for Human Rights, to issue factual alerts could serve to automatically trigger voluntary veto-restraint protocols.

Conclusion

- The debate over the UNSC veto is ultimately not just about **retaining or abolishing veto power** . It is about balancing three objectives:
 - **Effectiveness:** Preventing UNSC paralysis.
 - **Representation:** Making the Council reflect contemporary global realities.
 - **Accountability:** Ensuring that exceptional powers are exercised responsibly.
- For India, however, meaningful reform must go beyond veto regulation and address the **composition, representativeness and decision-making structure of the UNSC itself** .

Drishti Mains Question:

“The UNSC veto is simultaneously a mechanism for great-power consensus and a source of institutional paralysis.” Discuss.

Frequently Asked Questions (FAQs)

1. What is the UNSC veto power?

Article 27(3) of the UN Charter requires the concurring votes of the P5 for substantive decisions; therefore, a negative vote by any P5 member can block a substantive resolution.

2. What is the French-Mexican Initiative on veto reform?

The **2015 French-Mexican Initiative** calls for voluntary P5 restraint on veto use in cases involving **genocide, crimes against humanity and large-scale war crimes**.

3. What is the Liechtenstein Initiative?

UNGA Resolution 76/262 (2022) provides for a General Assembly debate within **10 working days after a UNSC veto**, enhancing political accountability for veto use.

4. What is India's position on UNSC veto reform?

India opposes a **two-tier permanent membership system** and argues that **if the veto continues, it should be extended to new permanent members** to ensure parity.

5. What is the G4 proposal on veto use?

The G4 (India, Brazil, Germany and Japan) has proposed a **15-year voluntary moratorium on the exercise of veto by new permanent members**, followed by a UNGA review.

[Watch Video on YouTube: [▶ https://www.youtube.com/embed/OT3xFrSW6nl](https://www.youtube.com/embed/OT3xFrSW6nl)]

UPSC Civil Services Examination Previous Year Question (PYQ) *Prelims*

Q. With reference to the “United Nations Credentials Committee”, consider the following statements: [2022]

1. It is a committee set up by the UN Security Council and works under its supervision.
2. It traditionally meets in March, June and September every year.
3. It assesses the credentials of all UN members before submitting a report to the General Assembly for approval.

Which of the statements given above is/are correct?

- a) 3 only
- b) 1 and 3
- c) 2 and 3
- d) 1 and 2

Ans: (a)

Mains

Q. “The long-sustained image of India as a leader of the oppressed and marginalised nations has disappeared on account of its new-found role in the emerging global order.” Elaborate. (2019)

Q. Discuss the impediments India is facing in its pursuit of a permanent seat in the UN Security Council. (2015)

Lottery Regulation in India



For Prelims: Lottery regulation , Goods and Services Tax , Article 19 , Futures & Options , SEBI

For Mains: Regulation versus prohibition as a tool of public policy, Constitutional division of legislative powers over lotteries, betting and gambling.

Source: TH

Why in News?

The debate over **lottery regulation in India** has gained renewed attention amid concerns that blanket prohibition may push gambling activity towards **illegal lotteries, matka, satta and offshore betting platforms** , while depriving States of revenue and legitimate vendors of livelihoods.

- The discussion highlights whether **strict regulation rather than complete prohibition** can better balance consumer protection, accountability and fiscal interests.

Summary

- **India's lottery debate centres on regulation versus prohibition:** While lotteries can cause addiction, financial distress and socio-economic harms, blanket bans may push demand towards **illegal lotteries, matka, satta and offshore platforms** , while also reducing legitimate State revenue.
- A **strictly regulated, transparent lottery framework** with independent audits, consumer safeguards, inter-State coordination and **dedicated welfare funding** can balance public interest, accountability and revenue generation.

What is the Constitutional and Statutory Architecture Governing Lotteries?

- **Seventh Schedule:**

- **Union List (Entry 40):** Grants Parliament exclusive competence over "*Lotteries organised by the Government of India or the Government of a State.*"
- **State List (Entry 34):** Vests competence over "*Betting and gambling*" within State legislatures.
- **State List (Entry 62):** Authorizes States to levy taxes on betting, gambling, and lotteries.
- **Lotteries (Regulation) Act, 1998 :** The law defines a lottery as any scheme in which prizes are drawn by chance or lot among people who buy tickets.
 - It lays down conditions for State-organised lotteries, including government-printed tickets and restrictions on certain lottery formats.
 - It also allows States to prohibit the sale of lotteries from other States, while empowering the **Union Government to prohibit lotteries violating the prescribed legal conditions.**
 - The **Lotteries (Regulation) Rules, 2010** regulate online lotteries by requiring secure lottery software, banning hybrid paper-online formats and unauthorised online sales. States such as **Punjab and Nagaland have also restricted online/WhatsApp-based lottery sales.**
- **Taxation:** Lottery winnings are taxed at a flat 30% under the **Income Tax Act, 1961** , plus 4% cess, making the base effective rate 31.2%.
 - **Tax Deducted at Source (TDS)** is deducted before payout, and winnings are reported under "Income from Other Sources" without standard deductions.

Judicial Jurisprudence

- **Taxation Framework under GST:** The Supreme Court of India in ***Skill Lotto Solutions Pvt. Ltd. v. Union of India (2020)*** ruled that lotteries, betting, and gambling are actionable claims that **legally qualify as "goods" under the Goods and Services Tax (GST) law.**
- **The Res Extra Commercium Doctrine:** In ***State of Bombay v. R.M.D. Chamarbaugwala (1957)*** , the Supreme Court ruled that gambling activities are *res extra commercium* (activities outside commerce and trade).
 - Consequently, lottery operators cannot claim fundamental rights protection under **Article 19(1)(g)** (freedom to practice any trade or business) or **Article 301** (freedom of trade and commerce across territories).
- **The "All-or-Nothing" Dilemma (*B.R. Enterprises v. State of U.P., 1999*):** The Supreme Court interpreted Section 5 of the 1998 Act to hold that a State cannot selectively prohibit lotteries originating from other States while running its own.
 - A State can ban outside lotteries **only if it becomes completely lottery-free** by abandoning its own state-run lotteries.
- **The Regulatory Fallout:** Because destination States possess zero administrative machinery to audit or regulate how outside States' private marketing agents conduct draws, major States like **Tamil Nadu (2003)** and **Karnataka (2007)** opted for complete prohibition to block predatory external cartels, thereby sacrificing their own potential state revenues and welfare surpluses.
 - As of 2023, only nine States (**e.g., Kerala, Maharashtra, Goa, Punjab, West Bengal**) operate lotteries.

What are the Key Concerns Regarding Lottery Regulation in India?

- **Regressive Socio-Economic Burden:** Lotteries disproportionately attract **low-income households.** Rapid-draw formats, instant-win games, and misleading jackpot marketing foster **compulsive**

gambling, loss-chasing, and chronic household debt.

- **Expansion of the Underground Shadow Economy:** Blanket prohibitions fail to **eliminate inelastic demand** .
 - Banning state lotteries drives players to illegal markets such as *matka* , *satta* , single-digit rackets, and offshore digital betting, **which operate without age checks, financial audits, or fraud safeguards.**
- **Loss of Public Revenue and Welfare Funding:** Blanket prohibition can eliminate significant **lottery revenue and GST collections** .
 - From **September 2025, lottery, betting, gambling and related actionable claims attract 40% GST** .
- **Destruction of Marginalized Livelihoods:** Legal paper lottery distribution provides **decentralized employment to lakhs of vulnerable individuals** , including persons with disabilities, widows, and low-income vendors, whose livelihoods vanish under sudden bans.
- **Class Asymmetry in State Paternalism:** Critics highlight a socio-economic asymmetry in the regulation of financial risk. Affluent citizens can legally participate in high-risk activities such as intraday trading, **Futures & Options (F&O)**, and crypto-asset trading, primarily through disclosure and regulatory safeguards rather than competence tests.
 - Yet, lotteries, often more accessible to lower-income groups, face stricter restrictions and, in some States, outright prohibition.
 - **SEBI** data showing that around **9 out of 10 individual F&O traders incur net losses further fuels** the debate over whether policy should prioritise risk regulation and consumer protection over blanket prohibition.
- **Advertising Standards:** The **Advertising Standards Council of India (ASCI)** is a non-statutory, self-regulatory body, so its advertising code does not have the same legal force as statutory regulations.
 - This can create enforcement gaps and limited accountability in regulating lottery advertisements.

	LOTTERY	REGISTERED CHIT FUND	PRIZE CHITS / MLM	GAMBLING / BETTING	PONZI / UNREGULATED DEPOSITS
 Concept	 Game of chance (jackpot).	 Rotating savings and credit.	 Recruit members or pay for a chance to win.	 Wagering on an uncertain outcome.	 Pays returns from new investors' money.
 Legality	 Legal (only State-run)	 Legal (if registered)	 Illegal (banned nationwide)	 Mostly illegal (state-dependent)	 Illegal (banned nationwide)
 Governing Law	 Lotteries (Regulation) Act, 1998	 Chit Funds Act, 1982	 Prize Chits and Money Circulation Schemes (Banning) Act, 1978	 Public Gambling Act, 1867 & State Acts	 BUDS Act, 2019 / SEBI Act
 Regulator	 State Governments (MHA at Centre)	 State Governments (Registrar of Chits)	 Law Enforcement / Police	 State Governments / Police	 SEBI / RBI / State Police
 Mechanism	 Random draw of numbers.	 Members pool money; auctioned monthly.	 Endless recruitment or lucky draws.	 Place stakes on event outcome.	 Promises high returns (without real business).
 Core Purpose	 Entertainment; revenue for States.	 Mutual savings and credit.	 Deceptive wealth generation (scam).	 Entertainment.	 Financial fraud.
 Capital Protection	 None (unless you win).	 High (every member gets corpus once).	 Zero (built to collapse).	 None (if bet fails).	 Zero (collapses when new enrollments stop).
 Tax Treatment	 28% GST on tickets; 30% TDS (u/s 194B) on winnings.	 Dividends offset against contributions (borrowing cost deductible for businesses).	 N/A (illegal).	 28% GST; 30% TDS (u/s 194B) on net winnings.	 N/A (illegal). Proceeds can be seized.

International and Domestic Models on Lottery Regulation

- **Global Standard of "Controlled Legality":** Nearly 80% of nations permit lotteries under regulated oversight rather than prohibition. Prohibitions exist primarily in closed ideological regimes or strict Sharia jurisdictions.
- **The Public-Operator Model:** Globally, over 70% of jurisdictions utilize a state-owned or statutory corporation to directly run operations, hiring private contractors strictly for logistics and IT.
 - This prevents "concessionaire capture", where private marketing agents divert profits.
- **Multi-Jurisdictional Pooling:** Federal democracies (e.g., the US, Canada, Germany) allow states to voluntarily pool prizes, technical platforms, and regulatory compliance through inter-state pacts while retaining destination-state sovereignty.
- **The Kerala Template:**
 - **Direct Public Oversight:** Kerala conducts lottery draws departmentally, eliminating intermediary concessionaires and predatory private syndicates.
 - **Revenue Hypothecation:** In FY 2023–24, Kerala generated over Rs 2,880 crore in gross proceeds, which is used to fund the **Karunya Benevolent Fund** for healthcare subsidies.
 - **Social Welfare Distribution:** Distribution rights are reserved for registered street vendors and persons with disabilities, turning the system into a decentralized social security mechanism.

What Measures are Needed for an Accountable Regulatory Regime?

- **Ending the All-or-Nothing Rule:** Parliament must amend Section 5 of the Lotteries (Regulation) Act, 1998, to clarify that a State may exclude outside lotteries *regardless of whether it runs its own lottery*, provided the **exclusion is non-discriminatory** (excluding all external operators uniformly).
 - This removes the perverse incentive for States to shut down safe, transparent domestic lotteries simply to protect themselves from opaque external operators.
- **Structural Separation of Operations and Oversight:** Establish an **Independent Statutory Lottery Authority** in organizing States.
 - The administrative department organizing the draw must not act as its own auditor; draw software, Random Number Generators (RNG), and ball-draw machines must undergo mandatory third-party cryptographic audits.
- **Mandatory Consumer Safeguards:** Implement daily/monthly purchase caps per individual to curb loss-chasing behaviour.
 - Strictly prohibit credit-based sales and predatory marketing that misleads consumers on mathematical odds.
 - Ban rapid-draw and instant scratch games that trigger addictive dopaminergic feedback loops.
- **Unified Digital Enforcement:** Create a specialized task force under the Ministry of Electronics and Information Technology (MeitY) and the **Financial Intelligence Unit (FIU-IND)** to systematically **block illegal offshore betting apps and freeze domestic payment gateways facilitating untaxed gambling**.

Conclusion

India needs to move beyond the binary choice of **prohibition versus unrestricted gambling** . A **strictly regulated lottery framework** , with transparent operations, consumer safeguards, responsible advertising and dedicated revenue for **healthcare and social welfare** , can address gambling-related harms while preventing the growth of illegal markets.

Drishti Mains Question:

Discuss the socio-economic and ethical concerns associated with lottery regulation in India. Should the State prioritise prohibition or harm-reduction regulation?

[Watch Video on YouTube: [▶ https://www.youtube.com/embed/0UfPB9MYeDQ](https://www.youtube.com/embed/0UfPB9MYeDQ)]

Frequently Asked Questions (FAQs)

1. What is the constitutional basis for regulating lotteries in India?

Entry 40 of the Union List gives Parliament power over government-organised lotteries, while **Entry 34 of the State List** covers betting and gambling.

2. What is the Lotteries (Regulation) Act, 1998?

It regulates **State-organised lotteries** , prescribing conditions for their operation and allowing States to restrict the sale of lotteries organised by other States.

3. What was the significance of *B.R. Enterprises v. State of U.P. (1999)* ?

The Supreme Court held that a State seeking to prohibit lotteries from other States could not selectively exclude them while continuing its own lottery, creating the **“all-or-nothing” approach** .

4. Why is the Kerala lottery model significant?

Kerala demonstrates how **State-operated lotteries with public oversight** can generate substantial revenue while supporting **healthcare and welfare programmes** .

5. What measures can strengthen lottery regulation in India?

Key measures include **independent audits, transparent draws, purchase limits, restrictions on predatory advertising, digital enforcement and stronger consumer-protection mechanisms** .

Exercise Tarang Shakti 2026



Source: TH

Exercise Tarang Shakti 2026 has begun in Jodhpur, Rajasthan, bringing together participating air forces and observers from nearly 40 countries to enhance multinational air combat cooperation and interoperability.

Tarang Shakti 2026

- **About :** It is the 2nd edition of the **Indian Air Force 's** multinational air exercise, building on the inaugural edition held in 2024 and being conducted under the theme “ **Power in Partnership**” .
- **Objective:** It aims to train participating air forces in the planning and execution of **multinational joint combat operations** in a realistic contemporary battlespace and to derive tactically viable solutions.
- **Wider Engagement:** It will also include **professional seminars, industrial tours, the Sekhon Marathon, heritage tours and yoga sessions** , providing foreign contingents exposure to India's aerospace and defence ecosystem and encouraging professional and cultural interaction.
- **Participation:** Australia, Bangladesh, France, Germany, Greece, Sri Lanka, the UAE and the USA are participating with air assets, while around 32 countries are attending as observers.
- **Aircraft and Operations:** Foreign platforms include **F-35 Lightning II, Rafale, F-16, A400M, Multi-Role Tanker Transport (MRTT), C-130, C-130J and KC-30A aircraft**, with missions covering counter-air operations, air defence, reconnaissance, airlift, air-to-air refuelling and other complex combat scenarios.
- **French Participation:** As part of **Mission Pégase 26, the French Air and Space Force** has deployed four **Rafale F4 fighters** , three **A330 MRTT Phénix aircraft** and two **A400M Atlas aircraft**, highlighting growing India-France aerospace and defence cooperation.
- **Significance:** The exercise enables the IAF to demonstrate its operational capabilities, professional standards and growing indigenous aerospace and defence capabilities, while strengthening defence partnerships, interoperability, mutual trust and strategic cooperation in support of regional peace and security.

Read more: [Exercise Udara Shakti 2026](#)

India's 1st Port-Based e-Methanol Facility at Kandla



Source: ET

India has laid the foundation stone for its 1st port-based e-methanol production facility at **Deendayal Port Authority (DPA), Kandla, Gujarat**, marking a major step towards supplying green maritime fuel to global shipping.

- **About:** The ₹2,300 crore project is a joint initiative of Deendayal Port Authority and Assam Petro-Chemicals Ltd. (APCL), with a **capital contribution ratio of 76:24**.
 - The facility will have a **total production capacity of 150 tonnes** of e-methanol per day and will use renewable power, water and biogenic CO₂ to produce green fuel for ships.
- **Global Shipping Linkage:** The e-methanol will be supplied to vessels operating on the **Asia-Europe International Trade Corridor**, with Kandla envisioned as a **green-fuel hub on the Singapore-Rotterdam route**.
 - E-Methanol is a synthetic fuel produced by combining **green hydrogen** with captured CO₂ using renewable energy, making it a cleaner alternative to conventional fossil-based methanol.
- **Phased Development:** Phase I will add 50 tonnes per day of capacity at an investment of ₹1,200 crore by January 2027, while Phase II will add another 100 tonnes per day at ₹1,100 crore by March 2027.
- **Cost and Employment:** The plant is expected to produce green methanol at around US\$750 per tonne compared with a global rate of about US\$1,300 per tonne and generate more than 3,500 direct and indirect jobs.
- **Wider Maritime Push:** The project forms part of India's broader maritime expansion, which includes **plans to add 100 ships to the merchant fleet over five years**, become a top-five ship-owning nation by 2047, and develop major shipbuilding and repair infrastructure.
- **Significance:** The facility supports India's **Net Zero 2070 goal**, energy self-reliance and the **Make in India**, **Make for the World initiative**, while strengthening India's position as an exporter of green maritime fuel and promoting a green-energy ecosystem around Kandla.

Read more: [Sagarmala Projects](#)